Sector Underwriting Note: Light Engineering

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL ## SECTION 4: SECTOR-SPECIFIC UNDERWRITING GUIDELINES ### 4.12 Sub-Sector: Light Engineering SME Lending

4.12.1 Purpose and Scope This policy governs credit assessment, structuring, and risk acceptance criteria for small and medium-sized enterprises operating within the light engineering sector. Underwriters must apply these parameters strictly. Any deviation requires formal sign-off from the Credit Committee, chaired by Chief Credit Officer Marcus Vance.

4.12.2 Working Capital Cycle 1. The typical working capital cycle for light engineering SMEs—measured from inventory purchase to cash collection—is 75 days. 2. Underwriters must base cash flow projections on a 75-day operational cycle unless historical financials for the preceding 24 months demonstrate a verified variance of greater than 10 days. 3. Accounts receivable aging schedules must be obtained monthly. Receivables exceeding 90 days from invoice date are deemed ineligible for drawing base calculations.

4.12.3 Debt Service Coverage Ratio (DSCR) Floor 1. Due to high equipment replacement expenditures and raw material price volatility, the sector-specific DSCR floor for light engineering SME lending is 1.35x. 2. This supersedes the general commercial lending baseline of 1.25x. 3. The 1.35x DSCR must be maintained under base-case projections and a mandatory 15% revenue stress test.

4.12.4 Seasonality Adjustments 1. Light engineering borrowers experience a pronounced seasonal peak from January to March, driven by contract finalizations and industrial supply replenishment cycles. 2. Underwriters must evaluate historical cash flows over a full 12-month trailing period to capture off-peak troughs (historically July to September). 3. Working capital facilities may be structured with seasonal limit escalations of up to 20% above baseline during the January to March window, provided the borrower maintains a minimum unencumbered liquidity buffer equal to 1.5 times the monthly debt service obligation during off-peak quarters.

4.12.5 Primary Causes of Distress Underwriters must specifically address the mitigation of the two primary causes of financial distress identified in this sector: 1. Machine Obsolescence and Maintenance Delays: Sudden capital expenditure requirements for specialized CNC, lathe, or stamping machinery failures without adequate reserve funding. Mitigation requires a mandatory maintenance reserve account funded at 2% of gross annual revenue. 2. Raw Material Price Volatility: Unhedged exposure to primary metals (steel, aluminum, copper) squeezing gross margins. Mitigation requires fixed-price supply contracts of at least 90 days duration or pass-through pricing clauses in primary customer contracts.

4.12.6 Collateral and Security Requirements Acceptable collateral types and maximum advance rates are restricted to: 1. First-ranking charge over plant and machinery: Maximum advance rate of 65% of forced sale value (FSV) as determined by an independent Ashva Capital-approved panel valuer. 2. First-ranking hypothecation of book debts and inventory: Maximum advance rate of 70% for raw materials and finished goods, and 50% for work-in-progress (WIP). 3. Collateral management agreements (CMA) are mandatory for inventory values exceeding 500,000 USD equivalent.

4.12.7 Portfolio Concentration Limits 1. Total credit exposure to the light engineering sector shall not exceed 14 percent of the total Ashva Capital loan book. 2. Current sector exposure stands at 11.5 percent, leaving an available sector headroom of 2.5 percent. 3. New loan originations in this sector that would breach the 14% ceiling are automatically rejected by the underwriting system without manual override capability.

4.12.8 Tenor Limits 1. The maximum allowable loan tenor for light engineering SME facilities is 72 months, inclusive of any initial moratorium period. 2. Moratoriums on principal repayment are restricted to a maximum of 6 months and apply solely to term loans funding machinery acquisition.